MODULE 02 · AMBITIOUS ENTREPRENEURSHIP

Finding Ideas

Where do startup ideas actually come from?

COURSE PATH

00 01 02 03 04 05 06 07 08 09 10 11 12

CHECK-IN · SLIDO OR HANDS

How many conversations did you hold last week?

1

2:00

WEEKLY ACCOUNTABILITY

Three questions, every week

1

User interactions?

What did you learn?

2

New revenue?

Why did they pay?

3

Shipped?

Why does it matter?

🦄 **Report target vs. actual in small groups**

CHAPTER 1 OF 9

Recap from last time

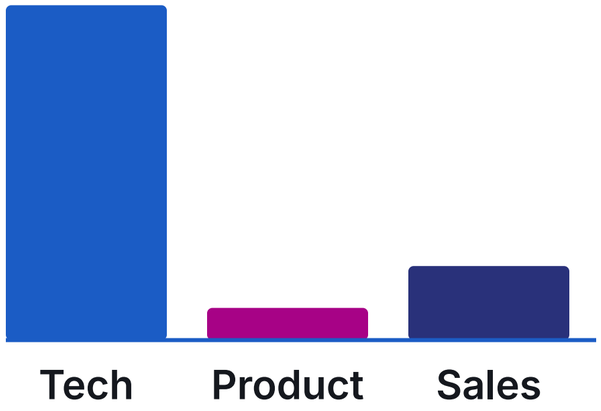
You became a team last week, and today you pick the problem you test next.

01 **Recap from last time**
02 Your presentations
03 Ideas are noticed
04 Diverge, then converge
05 A problem you want to have
06 Mom Test quickstart
07 Wrap-up and check-out
08 Workshop: stress-test your ideas
09 Case discussion

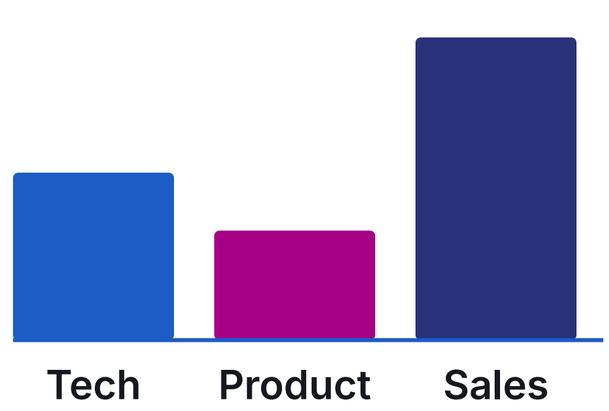
RECAP · MODULE 01

Your team already narrows your ideas

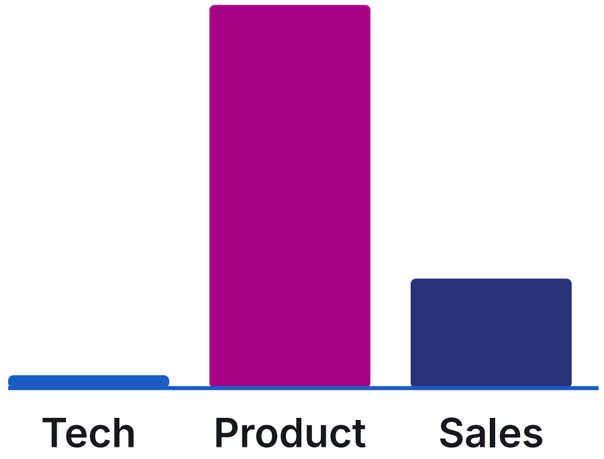
Founder 1



Founder 2



Founder 3



BASTIAN What you want in a team, legacy slide 66. Bar heights as on the legacy slide, illustrative.

TODAY'S QUESTION · HANDS

Where did your problem space come from?

- Your own itch
- What you know
- A shift in your field
- Something missing

1:00

CHAPTER 2 OF 9

Your presentations

Three minutes per team to show us what you heard, not what you plan.

01 ~~Recap from last time~~
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YOUR PRESENTATIONS · MAKE IT CREDIBLE

Show us where you're at in 3 minutes or less!

3:00

Facts
where people in the space complain, with links, from the AI deep research move

Numbers
conversations held per student, problems heard, hours each founder committed

Quotes
the three that surprised the team most

Images
the team's skill bars side by side, from the Team sheet

Agreement
startup or small business and why, and the one line the team argued about longest

Then: what did you do

what did you learn (including where the AI second opinion disagreed)

how can we help

CHAPTER 3 OF 9

Let's jump in! Ideas are noticed

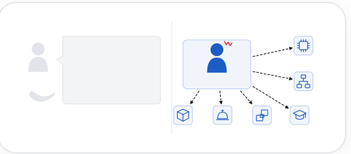
Stop inventing ideas and start noticing problems where they show up early.

01 ~~Recap from last time~~
02 ~~Your presentations~~
03 **Ideas are noticed**
04 Diverge, then converge
05 A problem you want to have
06 Mom Test quickstart
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09 Case discussion

> **The way to get startup ideas is not to try to think of startup ideas. It's to look for problems, preferably problems you have yourself.**

Paul Graham, Y Combinator

YC Graham, P. (2012, November). How to get startup ideas. paulgraham.com. Legacy slide 125.



WHERE IDEAS COME FROM

Problems show up early in four places

Your own itch
What annoys you every week?

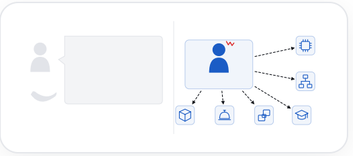
What you know
Your field, your tech, your jobs

[who] struggles with [what]
a problem someone has, not a product

A shift in your field
What just became possible?

Something missing
What do you wish existed?

YC Graham, P. (2012). How to get startup ideas. Friedman, J. (2022). How to get startup ideas, YC Startup Library. Legacy slide 125.



YC'S BEST RECIPE

Start from what your team knows best

about half
of YC's most successful companies

everything else

ASK FOR EVERY PLACE YOU WORKED, INTERNSHIPS TOO

What did you learn there that others don't know?

What seemed broken? What was clumsy?

YC Friedman, J. (2022). How to get startup ideas. YC Startup Library. YC's own estimate, no data published. Bar to scale.

I skate to where the puck is going to be, not where it has been.

Steve Jobs, quoting Wayne Gretzky, at the end of the iPhone keynote, Macworld, 9 January 2007

Jobs, S. (2007, January 9). Macworld keynote, as widely reported, no transcript opened. The advice came from Wayne's father Walter (Elgin Echo, 27 January 1982, via Barry Popik).

REACTING

StudiVZ won until the original arrived

The German copy of a San Francisco product, 2005 to 2022

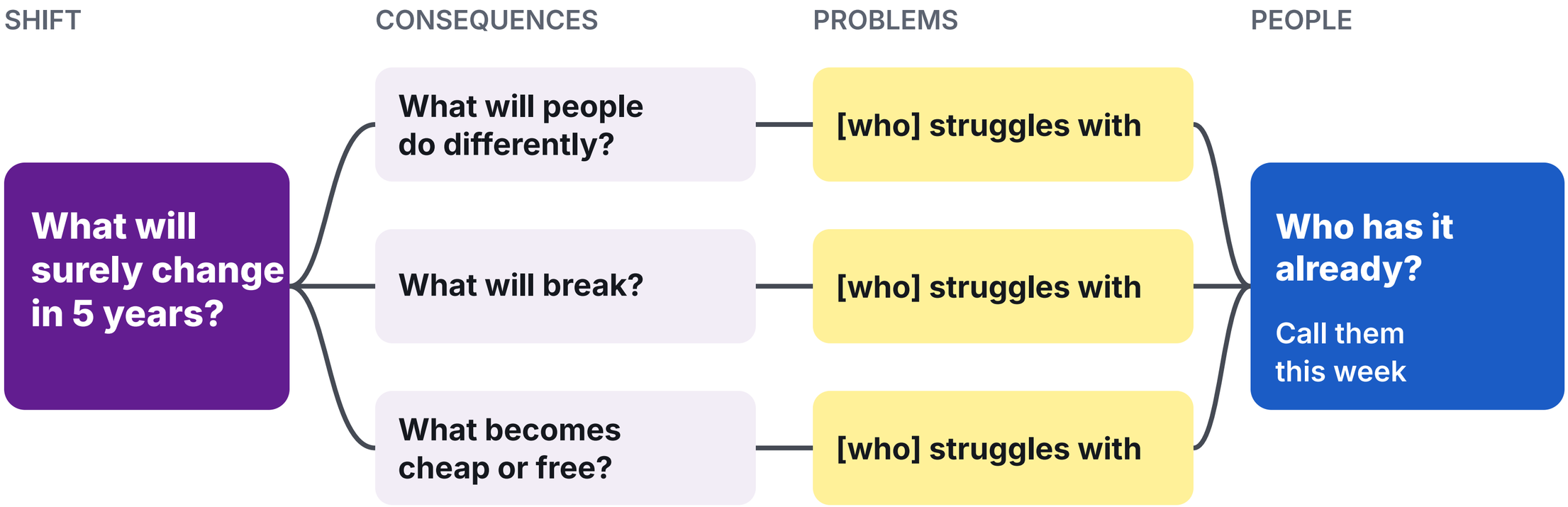


DATA StudiVZ dates and Nielsen unique users (July 2009) via TechCrunch (2008, 2009) and Wikipedia. Timeline to scale. One case, Bastian's argument.

THE METHOD

Picture the world in five years, then its problems

A hypothesis about the world. It ends in a person's problem, not in a technology



BASTIAN Bastian's method (2026-10-20), a hypothesis about the world in three to five years. Problem form from this workshop.

HYPOTHESIS 1 · COMPUTING

If agents use the software, who is the user?

The shift has started. The consequences are open

Agents use software for us

Task length they finish doubles every 7 months

The web	agents browsing like people grew 15x in 2025
Apps	MCP, launched Nov 2024: close to half a billion SDK downloads a month by Jul 2026
Payments	agent payment protocols since Sept 2025
Devices, OS	your hypothesis

DATA METR (2025). Cloudflare Radar (2025). Anthropic (2024, 2025) and MCP blog (2026). Google, AP2 (16 Sept 2025). OpenAI and Stripe, ACP (29 Sept 2025).

HYPOTHESIS 2 · MOBILITY

Cars go electric and driverless. What breaks?

Battery-electric share of new cars, 2025, to scale



World: 1 in 4 new cars is electric
including plug-in hybrids, 2025

Waymo: 500,000 paid rides a week
no driver, 10 US cities, March 2026

Taxis without drivers?

Fuel stations?

Repair shops?

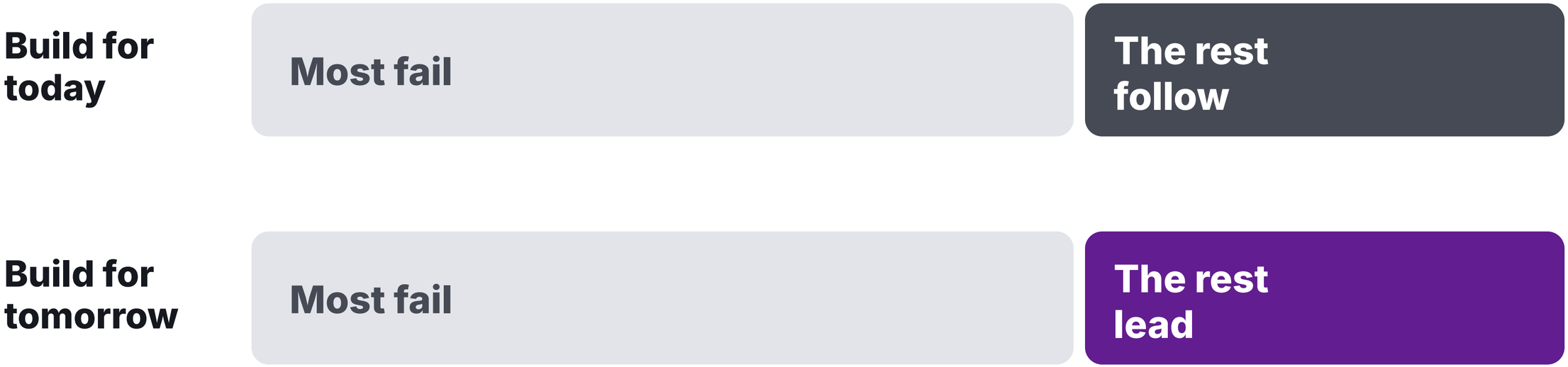
The grid at 6 pm?

DATA OFV, KBA, ACEA via electrive, 2025, battery-electric. IEA Global EV Outlook 2026. Waymo via TechCrunch, 27 March 2026. Bars to scale.

THE BET

Most fail either way. Only the winners differ

Failure is the default. Followers or leaders is the choice

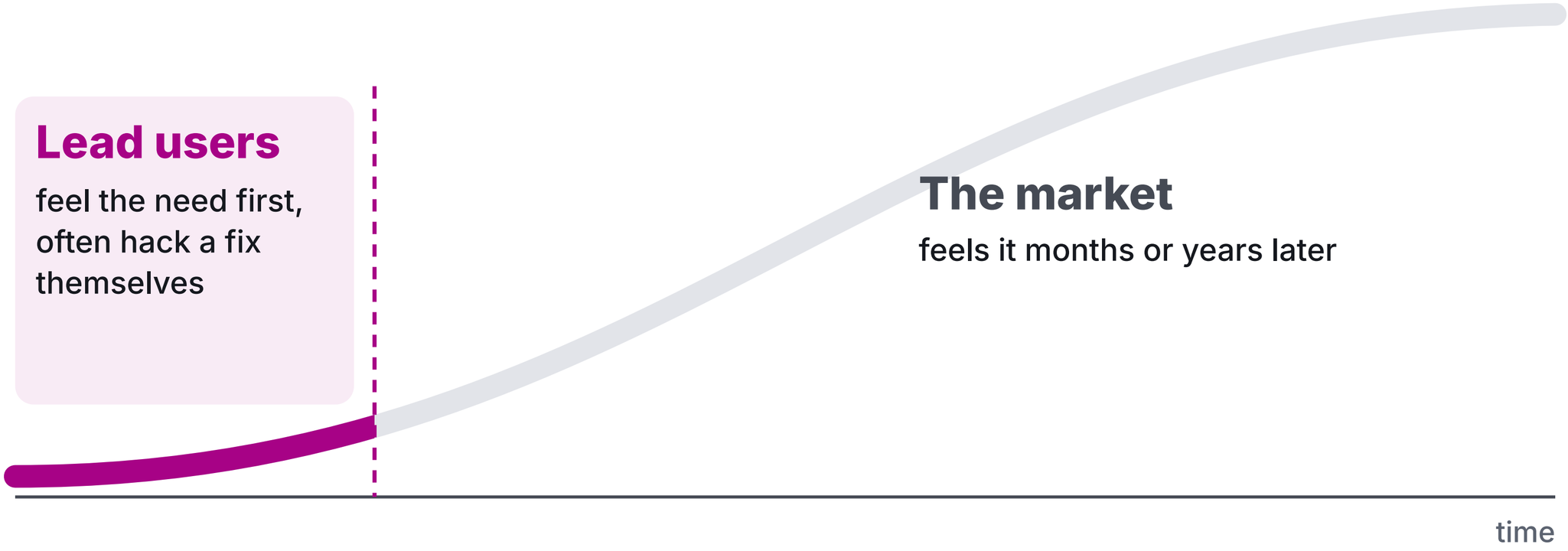


Split to scale at 63 to 37, the German five-year base rate for all new businesses

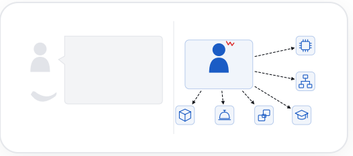
BASTIAN Bastian's argument, 2026-10-20. Base rate from Eurostat business demography (bd_9bd_sz_cl_r2), Germany, reference year 2020, as in the M00 deck.

LEAD USERS

Live where the problem shows up first



RESEARCH von Hippel, E. (1986). Lead users. Management Science, 32(7). Curve shape illustrative.



FROM PRODUCT TO PROBLEM

Write the problem, not the product

PRODUCT

"Software for recruiters to schedule video calls"

→

PROBLEM

"Recruiters struggle with scheduling calls with applicants and departments"

> [who] struggles with [what]. No product words.

ILLUSTRATIVE Recruiter example from legacy slide 306. Sentence form from the M02 workshop.

NOW YOU · ALONE · 3 MINUTES · NO PRODUCT WORDS

Write the problem you heard most

Who [who] has it?

struggles with [what], in their words

Source itch, know-how, shift or gap?

3:00

OUTPUT

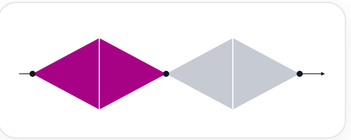
One sentence, one source

CHAPTER 4 OF 9

Diverge, then converge

Go wide alone, then cut to one idea on what people told you.

01 ~~Recap from last time~~
02 ~~Your presentations~~
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WHY IT MATTERS

Same 30 minutes. Think alone first

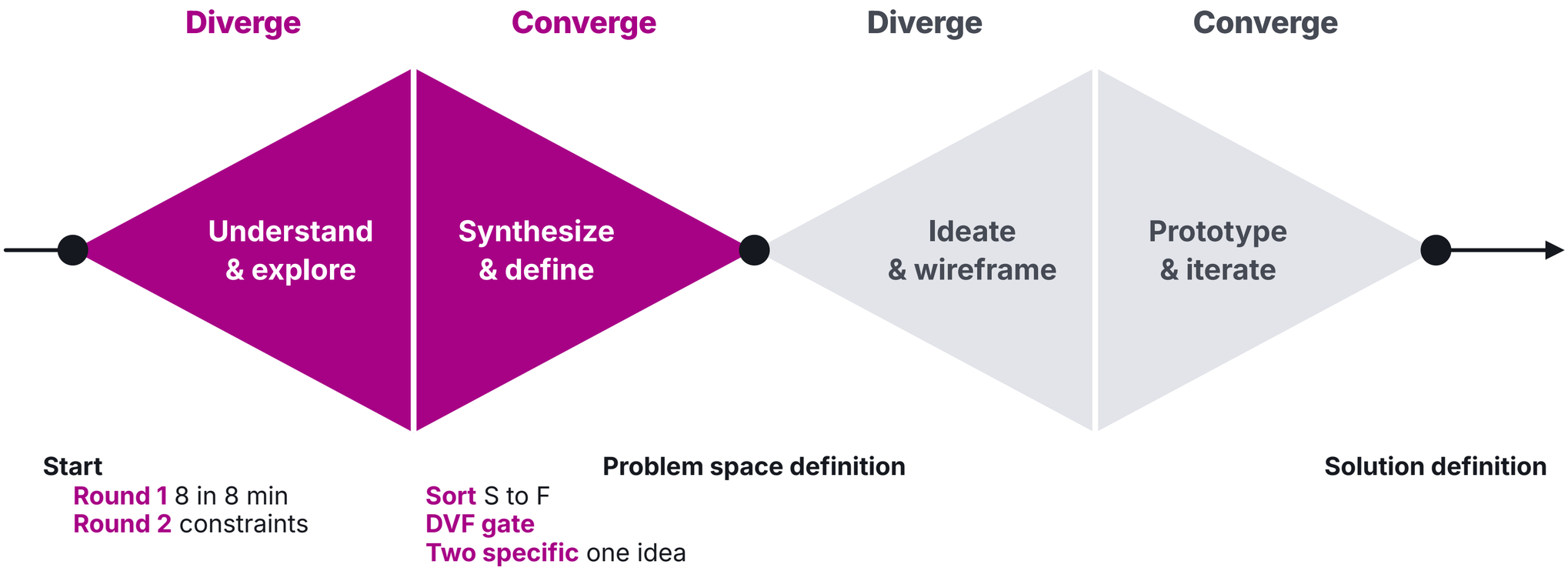
Team	30 min together	
Hybrid	10 min alone	20 min together

Hybrid: about 3× the ideas, and better best ideas

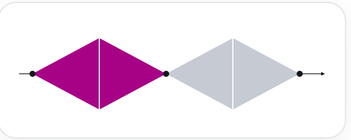
RESEARCH Girotra, Terwiesch & Ulrich (2010). Management Science, 56(4). Times and the factor of 3 from Knowledge@Wharton (2010), 44 students, one lab task. Diehl & Stroebe (1987). Lanes to scale.

CORNERSTONE · THE DOUBLE DIAMOND

This week runs the first diamond

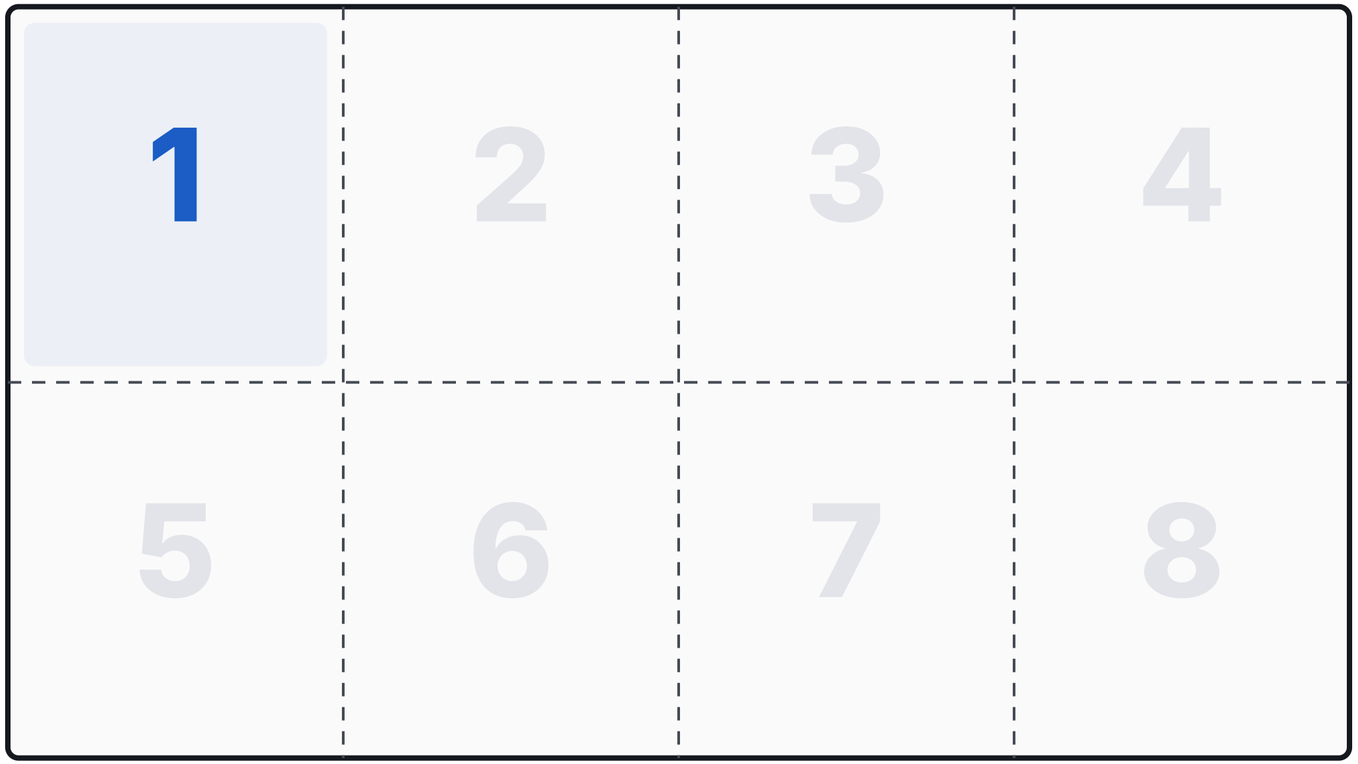


FRAMEWORK After Design Council (2004), the double diamond as drawn on legacy slides 357 to 360. Steps of the M02 workshop.



HOW-TO · CRAZY 8S

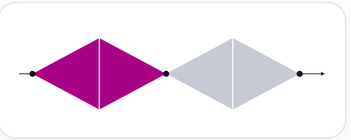
Eight ideas, eight minutes, one sheet



1 minute
per panel

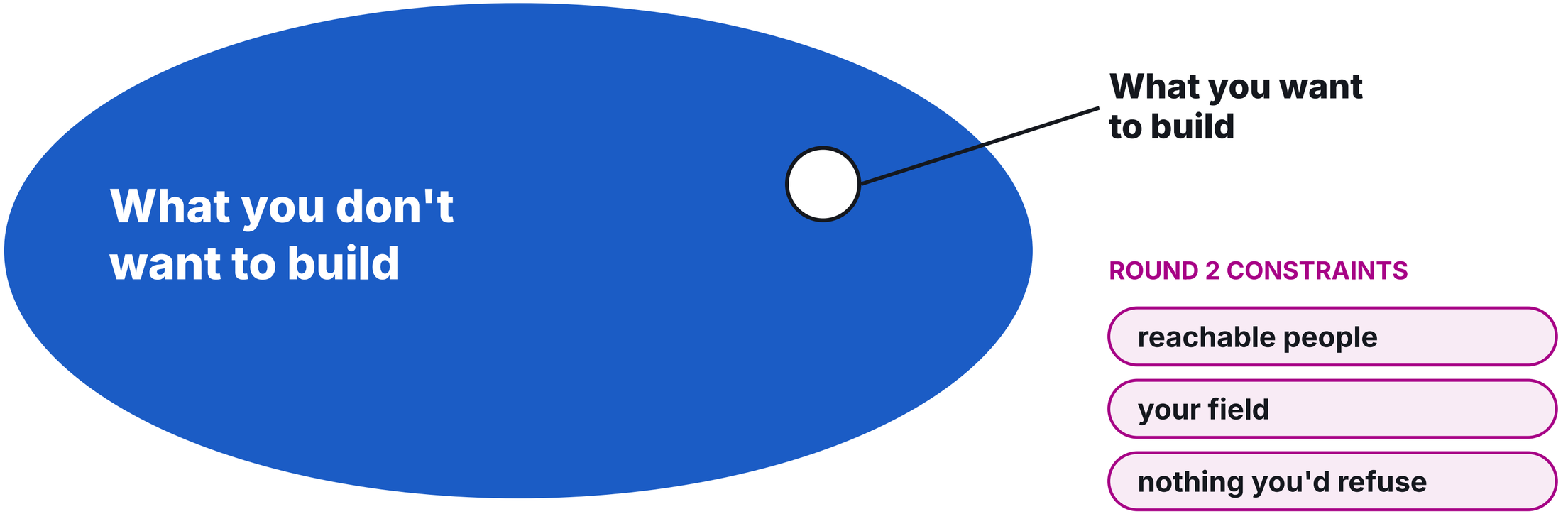
Alone,
in silence

Each panel:
[who] struggles with [what]



UNDERSTANDING IDEAS

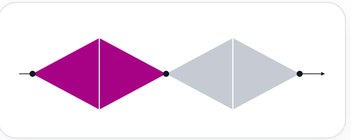
Constraints cut to what you want



ROUND 2 CONSTRAINTS

- reachable people
- your field
- nothing you'd refuse

BASTIAN Understanding ideas, legacy slide 307. Round-2 constraints from the M02 workshop, approved 2026-10-19. Research on constraints is mixed (Acar et al. 2019).

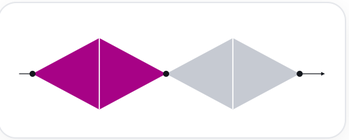


TIER LIST

Sort before you score

S Moonshots		*Don't worry, your idea might evolve into a Moonshot over time*
A Unsexy plumbing		
B Crowded trades		*Ok point to start with*
C Wrapper zone	Chat with your files	*Will get killed by the next Claude/GPT release*
D Tarpit ideas	Apps to find places in new cities; Fitness trackers and health apps; Social media for niche audiences	*Please don't*
F	Fridge inventory app	*Please don't*

BASTIAN A tier list of startup ideas, legacy slide 33, re-shown from Module 00. One line per tier from an earlier M02 deck, Bastian, confirmed 2026-10-19.



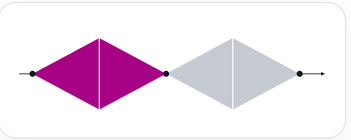
THE DVF GATE

Score only what you heard

	TRUE WHEN	SCORE 1 TO 5	EVIDENCE
Desirable	Someone you talked to had it recently	1 2 3 4 5	● heard ○ assumed
Viable	Someone spends money or time on it today	1 2 3 4 5	● heard ○ assumed
Feasible	You can reach them and test within two weeks	1 2 3 4 5	● heard ○ assumed

Every score heard (name the person) or assumed. 5 for several named people, 1 a pure guess

FRAMEWORK Desirability, viability, feasibility: IDEO U (2025), What is design thinking? Questions from the M02 workshop, approved 2026-10-19.



NOW YOU · IN PAIRS · 3 MINUTES

Heard or assumed? Ask who told you

Desirable Who had it recently?

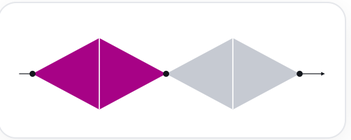
Viable Who spends on it today?

Feasible Whom can you reach in two weeks?

3:00

OUTPUT

Three marks, heard or assumed



GENERAL TO SPECIFIC

Make it specific. Who, and what exactly

General idea

Optimising HR workflows with AI.

Not actionable

The more specific an idea becomes, the more problems your users will find with it.

Specific problem

WHO

Recruiters at 50-person firms

struggle to

WHAT EXACTLY

book interviews across three calendars.

Who, and what exactly

BASTIAN Getting from general to specific, legacy slide 306. The example is Illustrative, the M02 homework's Good example for the workshop's made-up team.

CHAPTER 5 OF 9

A problem you want to have

Pick the problem your team is built for, say why in one to three sentences, and defend it.

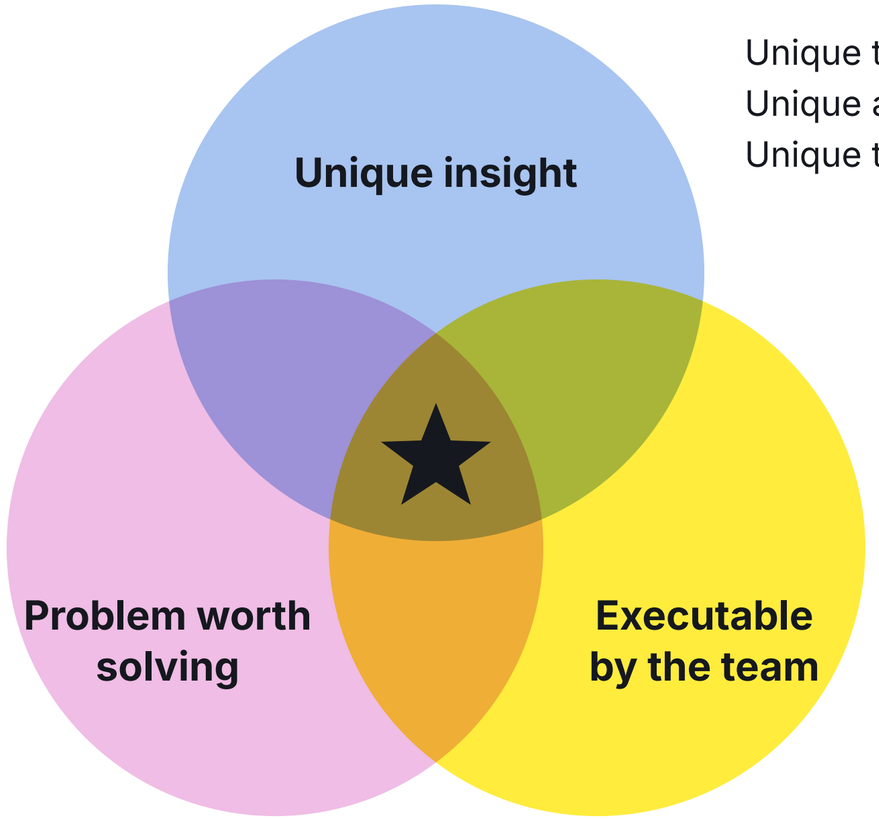
01 ~~Recap from last time~~
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> **The very best startup ideas tend to have three things in common: they're something the founders themselves want, that they themselves can build, and that few others realize are worth doing.**

Paul Graham, Y Combinator

CORNERSTONE · SELECTING A PROBLEM

Pick the problem where all three overlap



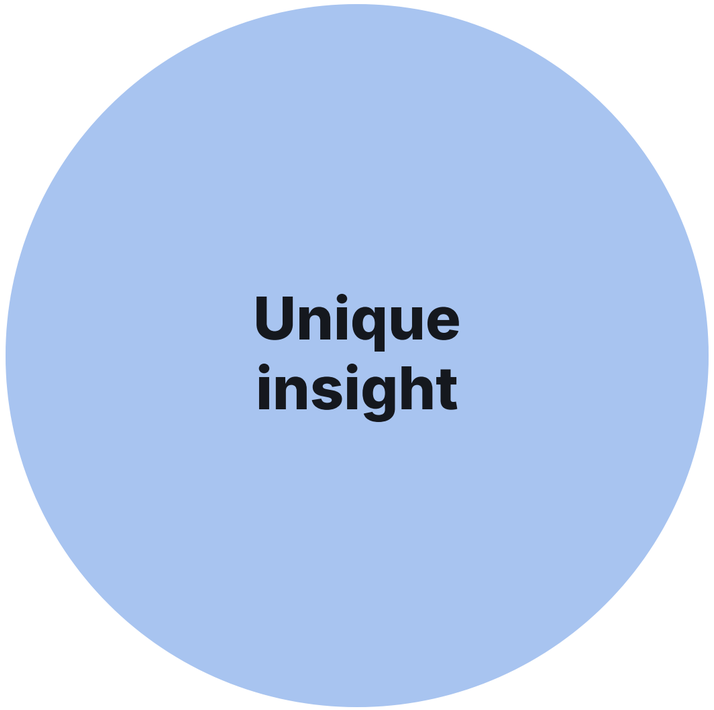
Unique tech
Unique access to customers
Unique take that others don’t have

You are passionate about it
Your audience is passionate about it
You can make a good living from it

You can scale the product
You can scale the backend
You can scale the sales

UNIQUE INSIGHT

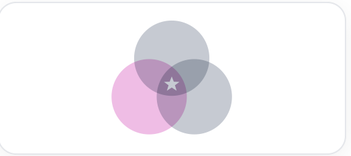
Your insight is what others find weird



Why do other people think you're weird?

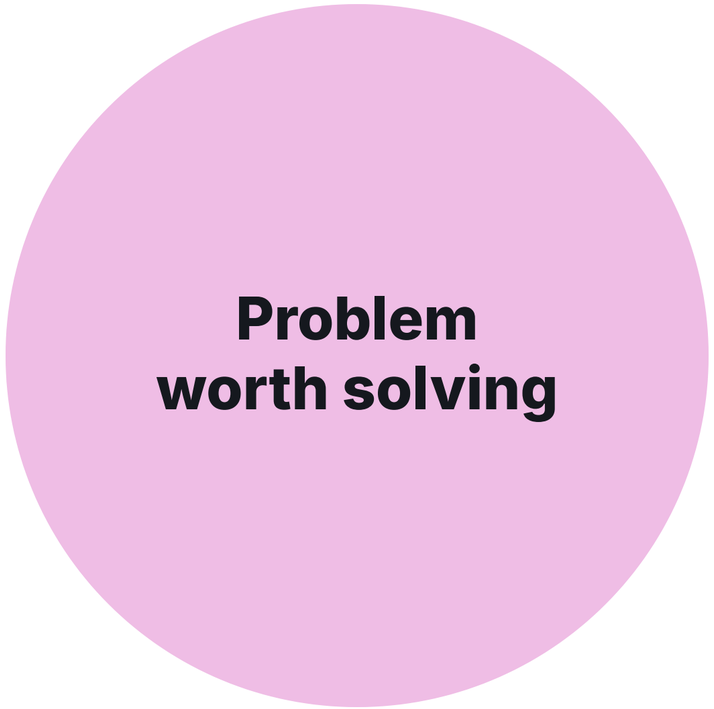
What is something unique you do or know?

- Apprenticeship or school
- Personal conviction
- CV or personal history
- Technical knowledge



PROBLEM WORTH SOLVING

Worth years of your life, and their money



What is worth solving for you?

Is the problem big enough so you can serve many people?

Does it improve the lives of people around you?

Do you desire a world with this problem solved?

Is someone willing to pay for it?

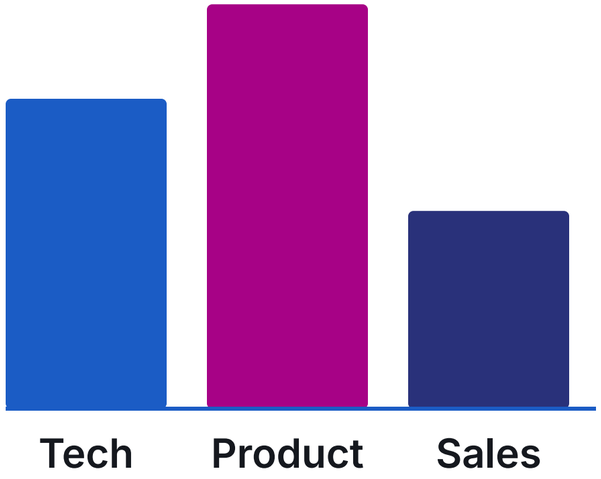
EXECUTABLE BY THE TEAM

Your team must build it and sell it

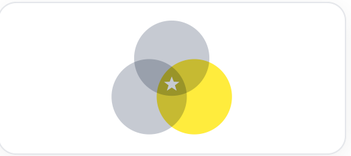
Executable by the team

Why are you uniquely suited for this challenge?

Passion | Determination | Skills | Experience



BASTIAN Executable by the team, legacy slides 164 and 66. Bars as on the legacy slide, illustrative.



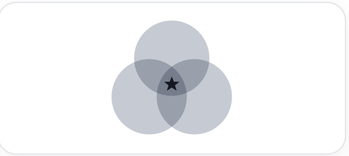
WHAT INVESTORS RANK

Investors back the team before the idea

1	2	3	4	5	6
Team	Team	Team	Market	Traction	Idea

889 VCs: the team matters more than product or technology

RESEARCH Gompers, Gornall, Kaplan & Strebulaev (2020). Journal of Financial Economics, 135(1). Ranking from Techstars (2024), Inside a Techstars accelerator.



YOUR EARLY-STAGE PITCH

Say it in one to three sentences

1

INSIGHT

What do you know that others don't,

2

PROBLEM

why does it matter,

3

TEAM

why can your team do it?

This is your early-stage pitch!

Have it available in 1-3 sentences for the next months.

AI CRITICS

AI agrees with you. Make it attack

- Experienced founder
- Industry veteran
- Technical expert
- Venture capitalist
- Business analyst

Critics never count as evidence

RESEARCH Sharma et al. (2023). Towards understanding sycophancy in language models. arXiv:2310.13548. Personas from legacy slide 155. Rule from the course grading rubric.

HOW-TO · AI CRITICS

One prompt, three critics

```
Business Idea: {Insert business idea}

You will generate increasingly concise summaries of the business idea above.

Repeat the following 3 steps 3 times.

Step 1: From the perspective of a potential customer, feedback the idea in terms of desirability. What problem does it solve? How are you solving the problem currently? When would you like to use it? What is missing from the idea? What is unnecessary? How much are you willing to pay for it? How does it compare to other ways of solving your problem? Think step by step and explain your reasoning.
Improve the idea according to your feedback.
```

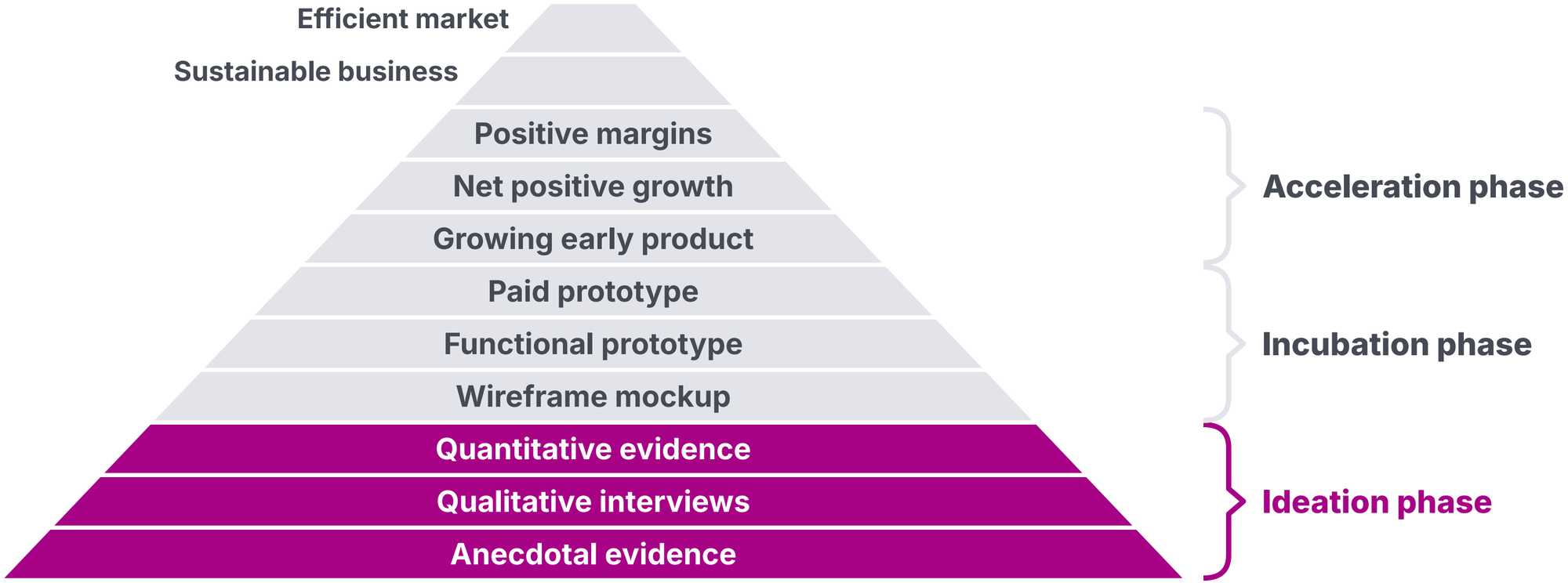
1. **Customer: desirability**
2. **Experienced founder: business value**
3. **Venture capitalist: growth**

Paste it into the chat assistant you use.
Then ask real people.

BASTIAN ChatGPT 4 on Bastian's screen, 2024, legacy slide 154, cropped to step 1.

CORNERSTONE · HIERARCHY OF EVIDENCE

AI critics are not on the pyramid



BASTIAN Hierarchy of evidence in the lean startup, legacy slides 128 and 328. Practitioner ladder, untested as a whole.

NOW YOU · IN PAIRS · 3 MINUTES

Find your weakest circle. Defend it

Weakest Which circle is thinnest?

Attack Your partner plays the investor

Fix What would make it stronger?

3:00

OUTPUT

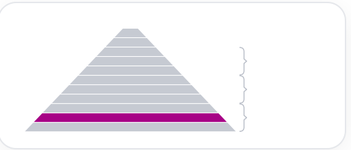
Your weakest circle, and what would fix it

CHAPTER 6 OF 9

Mom Test quickstart

Ask about the last time it happened, never about your idea, and let what you hear change it.

01 ~~Recap from last time~~
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THE MOM TEST

Talk about their life, not your idea

YOUR IDEA

"Would you use an app that does X?"

THEIR LIFE

"How do you currently handle X? Walk me through the last time."

THE FUTURE

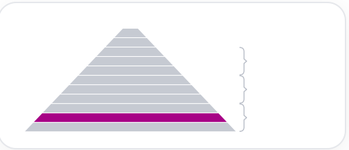
"Would you pay $10/month for this?"

THE PAST

"What did you spend on solving this last month?"

> Talk less than 30% of the time.

BASTIAN Questions and the 30% rule from the course Mom Test Cheatsheet, Bastian, confirmed 2026-10-19. After Fitzpatrick (2013), The Mom Test.



FIVE QUESTIONS

Ask for the story of the last time

1. **Tell me about the last time…**
2. **What was the hardest part?**
3. **Why was that hard?**
4. **How do you solve it today?**
5. **What don't you love about that?**

Then: tell me about another time.

YC After Migicovsky (2019), How to talk to users, Startup School, based on Fitzpatrick (2013). Basic script, legacy slide 170.

NOW YOU · IN PAIRS · 3 MINUTES

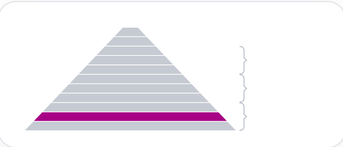
Fix three questions. Ask about the last time

1. Are you satisfied with your current team structure?
2. Have you considered pivoting your business model?
3. Would you use an app that does X?

3:00

OUTPUT

Three last-time questions



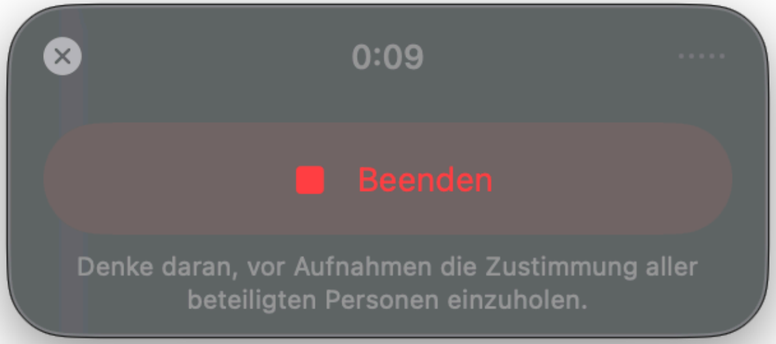
RECORDING

Record it. Ask first

BEFORE YOU HIT RECORD

"May we record this for our team and the course staff, who may spot-check it?"

> **Store it privately. Delete it if someone asks.**

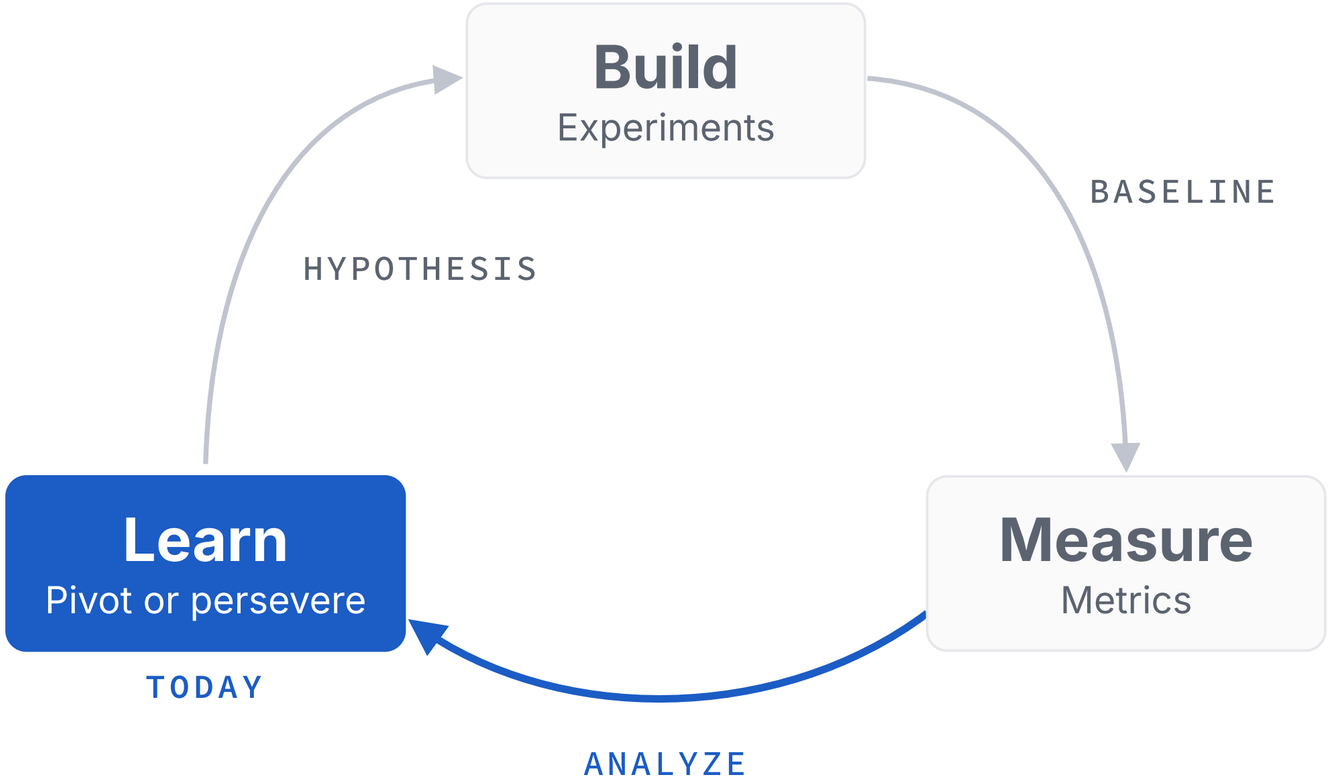


BASTIAN Consent sentence from the course Legal Basics. Recorder on Bastian's screen as of 2025, legacy slide 132.

ANCHOR · BUILD-MEASURE-LEARN

What you hear changes the idea

Update your pitch and scores every 3 talks



CHAPTER 7 OF 9

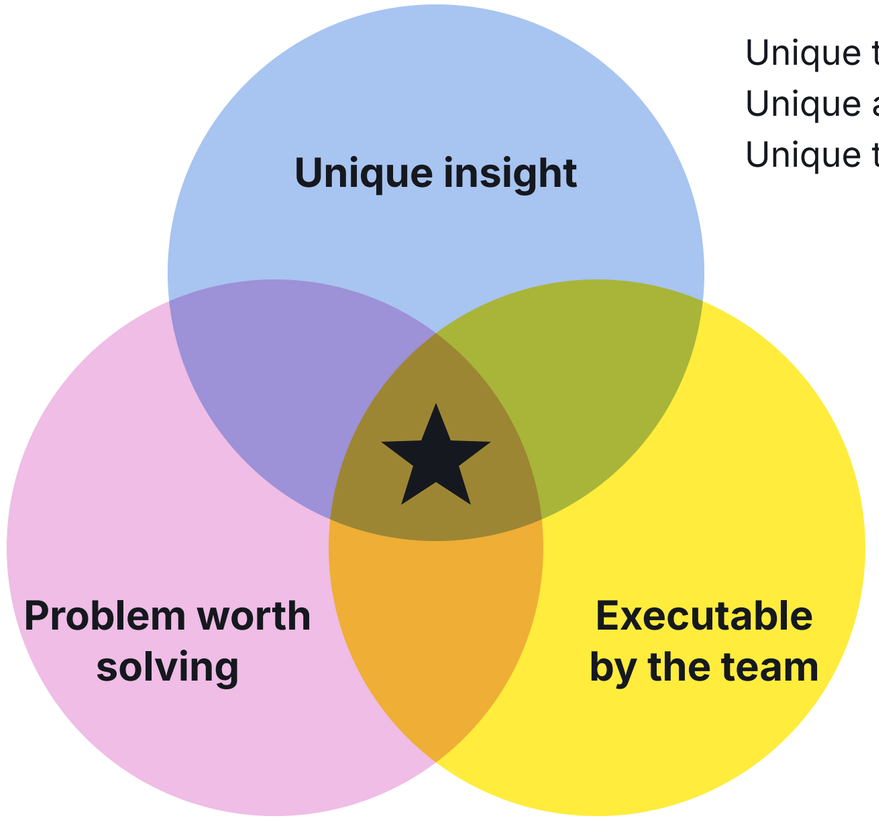
Wrap-up and check-out

Two pictures, three reflections, and this week's conversations with what a good result looks like.

01 ~~Recap from last time~~
02 ~~Your presentations~~
03 ~~Ideas are noticed~~
04 ~~Diverge, then converge~~
05 ~~A problem you want to have~~
06 ~~Mom Test quickstart~~
07 **Wrap-up and check-out**
08 Workshop: stress-test your ideas
09 Case discussion

RECAP · CORNERSTONE

Your pitch is the star



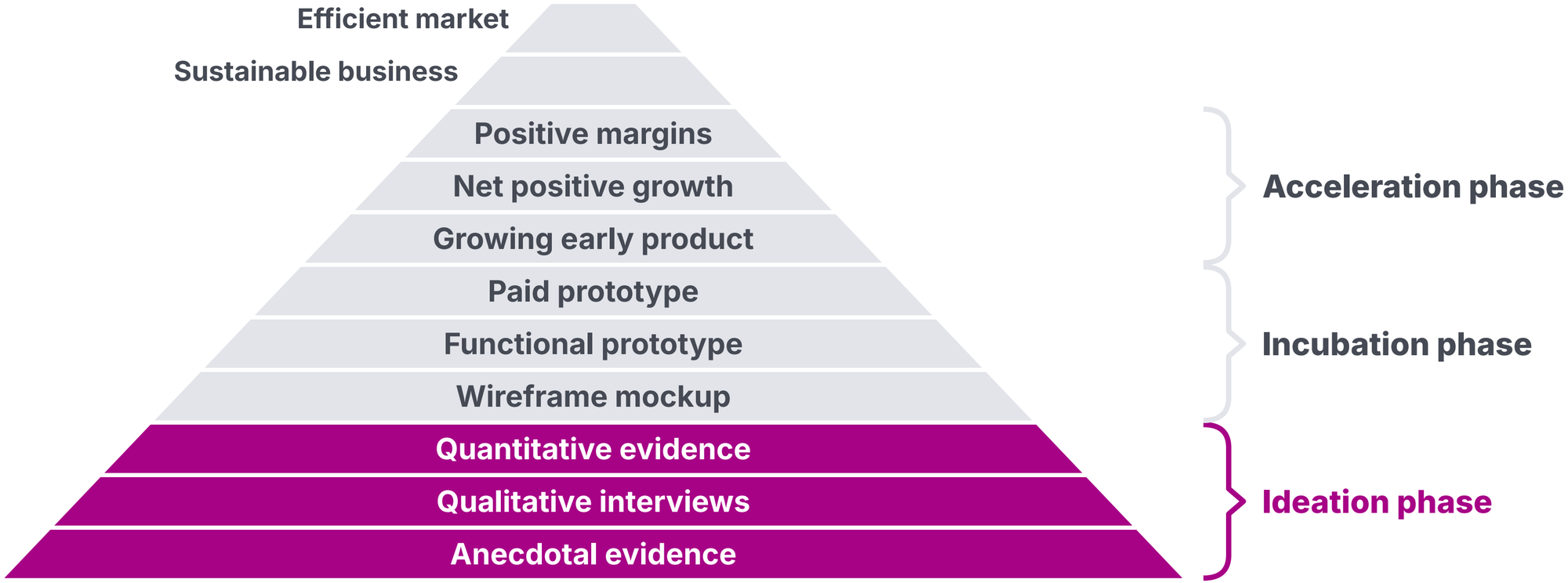
Unique tech
Unique access to customers
Unique take that others don’t have

You are passionate about it
Your audience is passionate about it
You can make a good living from it

You can scale the product
You can scale the backend
You can scale the sales

RECAP · CORNERSTONE

This week, the bottom steps



BASTIAN Hierarchy of evidence in the lean startup, legacy slide 128.

REFLECTION 1 OF 3 · THE CONTENT

What could you apply?



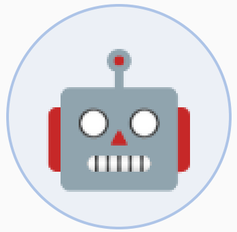
What could you apply?



What gave you a hard time?

REFLECTION 2 OF 3 · THE PROCESS

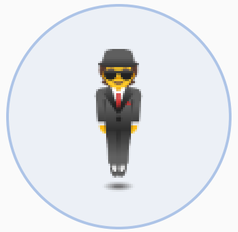
Man vs. machine



Where did AI actually help you?



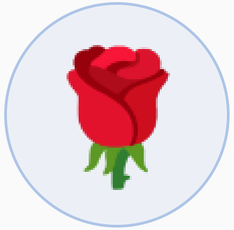
Where was your genius needed?



What are your best hacks to share?

REFLECTION 3 OF 3 · THE RESULTS

Rose, thorn, bud



What was the breakthrough today?



What was the hardest part today?



What is an idea/feature you didn't have time to finish, but want to explore later?

HOMEWORK UNTIL NEXT TIME

Hold 15 problem conversations per student about the problem behind your chosen idea.

15 each

The learning floor is 5 conversations per student.

Log your kill line before your first conversation, and check it first on your midweek day. A kill line is a result you count, a date, and what you do if you cross it, written down before the data comes in.

HOMEWORK · HOW TO DO IT · 1 OF 2

Start close. Never pitch

1. **Start close.** Your Interview Log, intros, people you see every day. AI deep research and review sites like G2 show where the rest talk.

2. **Open on their day,** let them raise it, then ask about the last time. Never pitch.
   Watch out. Name the problem first, and it isn't unprompted.

3. **Change the idea on what you hear.** Rescore every 3 talks, and switch the day your kill line is crossed.

HOMEWORK · HOW TO DO IT · 2 OF 2

End with an ask. Record it

4 **End with an ask,** a second call or an intro. Each yes is a first prospect.

5 **Record with the consent sentence** in Legal Basics.

6 **Get a blind second opinion.** Give an AI your raw notes, minus your idea and personal data. Ask what people raised on their own, and note where it disagrees.

Watch out. AI critics and personas are practice and never count.

It all lives in your Student Toolkit. **Interview Log** **Ideas** **Kill Criteria Log**

HOMEWORK · WHAT YOU COME BACK WITH

Good is named, specific and quoted

	GOOD	WEAK
IDEA	“Recruiters at 50-person firms struggle to book interviews across three calendars.”	“AI for HR.”
PITCH	One of us booked 40 interviews a month by hand, and recruiters told us what a lost candidate costs.	A market size and a technology.
LOG	15 named rows, each quoting someone’s last time.	15 rows of “interesting, I’d use it”.

ILLUSTRATIVE What you come back with, M02 homework, approved 2026-10-19. The examples follow the made-up team from the workshop.

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Go talk to people. See you next week!

MODULE 02 · FINDING IDEAS · WORKSHOP · 90 MINUTES

Workshop: Stress-test your ideas

Ninety minutes from many ideas to one, with a first conversation before you leave.

Where do startup ideas actually come from?

01 Recap from last time
02 Your presentations
03 Ideas are noticed
04 Diverge, then converge
05 A problem you want to have
06 Mom Test quickstart
07 Wrap-up and check-out
08 **Workshop: stress-test your ideas**
09 Case discussion

WORKSHOP · STEP 1 OF 3

Many ideas, in silence

1 STEP 1 · 25 MIN

MANY IDEAS, IN SILENCE

Every problem on paper before anyone judges one

→ 3 min: sources from your log, itch, work, a shift in five years, a gap
→ 8 min Crazy 8s: alone, silent, "[who] struggles with [what]"
→ 8 min round 2: reachable people, your field, nothing you'd refuse
→ 6 min: read out your three best, merge, tier S to F
→ Mark your top 5

Output 16 ideas each, a top 5

Minutes 25

25:00

WORKSHOP · STEP 2 OF 3

One gate, then the critics

2 STEP 2 · 35 MIN

ONE GATE, THEN THE CRITICS

Cut to one idea on evidence, and know why you are its team

→ 10 min DVF gate: score your top 5 from 1 to 5
→ Every score heard (name the person) or assumed
→ 8 min: make two specific, pitch each in one to three sentences
→ 14 min: another team or an AI attacks as customer, founder, investor
→ 3 min: choose one, rank two backups

Output One idea, its pitch, two ranked backups

Minutes 35

35:00

WORKSHOP · STEP 3 OF 3

Ask about the last time

3 STEP 3 · 30 MIN

ASK ABOUT THE LAST TIME

Learn if people have it, without hearing your idea. Do NOT pitch.

→ 2 min: log your kill line, checked midweek
→ 8 min script: open on their day, let them raise it
→ Last time? Hardest part? Why? Fix today? Dislikes? Then ask
→ 12 min: one live talk per team, or three booked
→ 8 min: commit to the bar, midweek day and pace, send messages

Output Kill line, script, a first talk, targets, sent messages

Minutes 30

30:00

ARRIVED EMPTY-HANDED?

No team? Join one today. No talks? Start from your own sources

Assumed scores are your Step 3 questions.

HOMEWORK UNTIL NEXT TIME

Hold 15 problem conversations per student about the problem behind your chosen idea.

15 each

The learning floor is 5 conversations per student.

Log your kill line before your first conversation, and check it first on your midweek day. A kill line is a result you count, a date, and what you do if you cross it, written down before the data comes in.

Go talk to people. See you next week!

MODULE 02 · FINDING IDEAS · CASE DISCUSSION · ABOUT 90 MINUTES

Case discussion

You prepared the case at home, and now we argue the decision the founders faced.

Where do startup ideas actually come from?

01 Recap from last time
02 Your presentations
03 Ideas are noticed
04 Diverge, then converge
05 A problem you want to have
06 Mom Test quickstart
07 Wrap-up and check-out
08 Workshop: stress-test your ideas
09 **Case discussion**

CASE · ENGERT, SCHWÄMMLEIN AND KRAUSS · MUNICH, SUMMER 2011 · INFORMATION HORIZON 30 JUNE 2011

Three Friends and a Promised Market

THE DECISION, AS ENGERT RECALLED IT

Finish the doctorates and go back into consulting, stay with the secure jobs, or make the jump?

No source dates the point at which the three decided.

CASE · TIMELINE

What the three could know by 30 June 2011

1934	Passenger Transport Act. New domestic long-distance bus lines allowed only if existing transport did not suffice
2009	Coalition agreement of CDU, CSU and FDP promises to allow scheduled long-distance buses
August 2009	Deutsche Bahn starts its first international long-distance coach line, Nuremberg to Prague, on a link where it had stopped running trains about five years earlier
24 June 2010	Federal Administrative Court. A permit authority may weigh much lower bus fares decisively
6 July 2010	Government answer. It expects the market to develop. Beyond a sensitivity analysis, no further study of liberalisation scenarios has been carried out
11 March 2011	Consumer federation comments on the draft law that liberalises long-distance buses
April 2011	Deutsche Bahn loses a case against the bus car-pooling service DeinBus
May 2011	Deutsche Bahn says it will not appeal and that the government plans a new law
June 2011	Deutsche Bahn's board calls off a planned bus offensive. It runs more than 50 long-distance bus lines
Summer 2011	**Engert and Schwämmlein, consultants who had begun doctorates, and Krauss, who had worked as a software developer at Microsoft, share the wish for a company of their own**

DATA M02 case, Three Friends and a Promised Market, case slide brief of 2026-10-19. Nothing after the information horizon of 2011-06-30.

CASE · BOARD PLAN

Three boards. Problem, criteria, fit

LEFT

A problem someone has

The one-sentence problems, who has it, and a column per fact, person, document or assumed.

MIDDLE

Criteria and scores

The criteria read off Exhibit 3, then desirability, viability and feasibility with heard or assumed beside each.

RIGHT

Fit and attacks

Three fit sentences, the strongest line of a traveller, a fellow founder and an investor, and the two vote counts at the bottom.

CASE · VOTE 1 OF 2 · RAISE A HAND

On this evidence, would you give up your own job or degree?

OPTION A

Finish the doctorates and go back into consulting

OPTION B

Stay with the secure jobs

OPTION C

Make the jump

CASE · EXHIBIT 1 · 1 OF 3 · RULES AND REFORM, 1934 TO JUNE 2011

Read your one-sentence problem. Who has it?

DATE	EVENT	STATED BY	KIND OF SOURCE
1934	Passenger Transport Act. New domestic long-distance bus lines allowed only if existing transport did not suffice	Federal government	Government page
2009	Coalition agreement of CDU, CSU and FDP. Coalition will allow scheduled long-distance bus services and amend section 13	Green MPs quoting the agreement	Parliamentary paper
August 2009	Deutsche Bahn starts its first international long-distance coach line, Nuremberg to Prague, on a link where it had stopped running trains about five years earlier	Travel magazine	Press report
24 June 2010	Federal Administrative Court. A permit authority may give decisive weight to much lower bus fares	Federal government, citing the ruling	Parliamentary paper

DATA Source: compiled by the case writer from the Bundestag paper of 8 July 2010, the Federal Government's description of the Act, a travel magazine, the consumer federation's statement of 11 March 2011, a rail passengers' association magazine and two news-agency reports, see the notes to the text.

CASE · EXHIBIT 1 · 2 OF 3 · RULES AND REFORM, 1934 TO JUNE 2011

Read your one-sentence problem. Who has it?

DATE	EVENT	STATED BY	KIND OF SOURCE
6 July 2010	Government answer. It expects the market to develop. Beyond a sensitivity analysis, no further study of liberalisation scenarios has been carried out	Federal government	Parliamentary paper
August 2010	Deutsche Bahn announces about 120,000 passengers in a year on its Nuremberg to Prague coach	Rail passengers' association, reporting Deutsche Bahn	Interest group
11 March 2011	Consumer federation comments on the draft law that liberalises long-distance buses	Consumer federation	Association statement
April 2011	Deutsche Bahn loses a case against DeinBus	News agency	Press report
May 2011	Deutsche Bahn says it will not appeal and that the government plans a new law	News agency	Press report, date not settled

DATA Source: compiled by the case writer from the Bundestag paper of 8 July 2010, the Federal Government's description of the Act, a travel magazine, the consumer federation's statement of 11 March 2011, a rail passengers' association magazine and two news-agency reports, see the notes to the text.

CASE · EXHIBIT 1 · 3 OF 3 · RULES AND REFORM, 1934 TO JUNE 2011

Read your one-sentence problem. Who has it?

DATE	EVENT	STATED BY	KIND OF SOURCE
June 2011	Deutsche Bahn's board calls off a planned bus offensive. It runs more than 50 long-distance bus lines	News agency	Press report, date not settled

The two grounds on which permit authorities had to refuse a long-distance bus line, as quoted in 2010, follow.

GROUND	WORDING
1	The route can be served satisfactorily by existing means of transport
2	The line would take over tasks that existing operators or railways already perform, without a significant improvement of service

DATA Source: compiled by the case writer from the Bundestag paper of 8 July 2010, the Federal Government's description of the Act, a travel magazine, the consumer federation's statement of 11 March 2011, a rail passengers' association magazine and two news-agency reports, see the notes to the text.

CASE · EXHIBIT 2 · 1 OF 2 · THE MARKET IN NUMBERS, 2010 TO JUNE 2011

Read your one-sentence problem. Who has it?

ITEM	FIGURE	PERIOD	STATED BY	KIND OF SOURCE
Passengers in long-distance rail, Germany	126 million, 2.4 percent more than in 2009	2010	Federal Statistical Office, as reported by a trade magazine	Official statistic, second hand
Average long-distance trip by bus or rail	290 kilometres	2010	Federal Statistical Office, as reported by a trade magazine	Official statistic, second hand
Road-use costs caused by buses on federal motorways	EUR 0.09 per kilometre in 2010, EUR 0.10 in 2012, long-distance and regional buses not separated	Study of 2007	Federal government, in answer to a question on tolls	Parliamentary paper, a cost and not a toll
Passengers on Deutsche Bahn's Nuremberg to Prague coach	About 120,000 in one year	To August 2010	Rail passengers' association, reporting Deutsche Bahn	One side
Long-distance bus lines of Deutsche Bahn	More than 50	June 2011	News agency	Press report

DATA Source: compiled by the case writer from the Bundestag paper of 8 July 2010, a trade magazine's report of Federal Statistical Office figures, a rail passengers' association magazine, a news-agency report, the consumer federation's statement of 11 March 2011 and interviews with Engert and Krauss, see notes in the text.

CASE · EXHIBIT 2 · 2 OF 2 · THE MARKET IN NUMBERS, 2010 TO JUNE 2011

Read your one-sentence problem. Who has it?

ITEM	FIGURE	PERIOD	STATED BY	KIND OF SOURCE
Average coach fare compared with the train	About one third lower	2011	Consumer federation	Claim of an association
Expected fall of long-distance rail passengers after liberalisation	About 3 percent	2011	Deutsche Bahn's estimate, as the consumer federation reports it	One side
Bus companies in Germany	4,500, mostly mid-sized	Told in 2017	Engert	Recollection
Bus companies in Germany	Almost 5,000	Told in 2021	Krauss, hedged	Recollection
Trips of a Deutsche Bahn subsidiary between Hamburg and Berlin	14 or 15 a day	While long-distance lines were restricted, told in 2025	Engert	Recollection

DATA Source: compiled by the case writer from the Bundestag paper of 8 July 2010, a trade magazine's report of Federal Statistical Office figures, a rail passengers' association magazine, a news-agency report, the consumer federation's statement of 11 March 2011 and interviews with Engert and Krauss, see notes in the text.

CASE · EXHIBIT 3 · 1 OF 3 · HOW THE THREE TOLD THE START

Which criteria cut a long list to one?

TELLER, YEAR AND KIND OF SOURCE	SEARCH FOR IDEAS AND WHAT MATTERED
Engert, 2016, university magazine	Worked on business ideas with his partners for years
Engert, 2017, newspaper	Wish for their own company had matured. Market analysis of 4,500 companies
Engert, 2025, podcast	Old-fashioned market of family firms where they could add a platform, a brand and technology
Schwämmlein, 2016, trade magazine	The magazine wrote that the three discussed what a liberalised market could offer
Schwämmlein, 2018, newspaper	An internet platform for a real business that matters in people's lives
Schwämmlein, 2018, podcast	A sector where digitalisation had no big role, plus a change of market structure
Schwämmlein, 2018, magazine	Something that digitalisation changes fundamentally
Krauss, 2017, regional portal	Thousands of ideas, from knitted socks to online portals
Krauss, 2017, podcast	Knew little about buses. Not another app but something tangible
Company-supplied text, 2018 and 2019, printed under both Krauss's and Schwämmlein's name	Met regularly in the following years and played through business models
WirtschaftsWoche, 2016, press account	A list that grew, 50 products and services run through models

DATA Source: compiled by the case writer from the interviews and articles named in each row, paraphrased, see notes in the text.

CASE · EXHIBIT 3 · 2 OF 3 · HOW THE THREE TOLD THE START

Which criteria cut a long list to one?

TELLER, YEAR AND KIND OF SOURCE	HOW THEY CAME ACROSS THE PLAN
Engert, 2016, university magazine	Heard of the coming opening while working on his doctorate
Engert, 2017, newspaper	The media reported that the market was to be liberalised
Engert, 2025, podcast	A half-sentence in the 2009 coalition agreement
Schwämmlein, 2016, trade magazine	The passage on opening the market in the 2009 agreement
Schwämmlein, 2018, newspaper	A bit of chance. The coalition agreement was the start
Schwämmlein, 2018, podcast	Stumbled over the deregulation while searching for ideas
Schwämmlein, 2018, magazine	A pause of about nine months in 2009, for fear the law might not come
Krauss, 2017, regional portal	Schwämmlein brought the news that the law was to be loosened
Krauss, 2017, podcast	Not mentioned
Company-supplied text, 2018 and 2019, printed under both Krauss's and Schwämmlein's name	Read of the plans in the 2009 coalition agreement
WirtschaftsWoche, 2016, press account	After a ski holiday in 2010 the two remembered announced liberalisations

DATA Source: compiled by the case writer from the interviews and articles named in each row, paraphrased, see notes in the text.

CASE · EXHIBIT 3 · 3 OF 3 · HOW THE THREE TOLD THE START

Which criteria cut a long list to one?

TELLER, YEAR AND KIND OF SOURCE	WHAT THEY SAID DEUTSCHE BAHN SAID
Engert, 2016, university magazine	Took it for granted that Deutsche Bahn would take the market. It did not find the market attractive
Engert, 2017, newspaper	Not mentioned
Engert, 2025, podcast	Board said it did not find the market interesting, in 2011
Schwämmlein, 2016, trade magazine	Not mentioned
Schwämmlein, 2018, newspaper	Not mentioned
Schwämmlein, 2018, podcast	At some point Deutsche Bahn said it did not find it exciting
Schwämmlein, 2018, magazine	A board member said buses did not interest him, after which they resumed
Krauss, 2017, regional portal	Not mentioned
Krauss, 2017, podcast	Not mentioned
Company-supplied text, 2018 and 2019, printed under both Krauss's and Schwämmlein's name	Not mentioned
WirtschaftsWoche, 2016, press account	An announcement of 2011 not to expand was the spark

DATA Source: compiled by the case writer from the interviews and articles named in each row, paraphrased, see notes in the text.

CASE · EXHIBIT 4 · 1 OF 2 · THE THREE BY PERIOD, 2005 TO 2011

Read your fit sentence

	SCHWÄMMLEIN	ENGERT	KRAUSS
School and studies	Same school as Krauss, recalled 2018. With Krauss, IT consultancy founded 2005 and sold after two years, reported 2017	Organised ski trips with a friend that often filled a bus, recalled 2025	Same school as Schwämmlein, recalled 2018. With him, IT consultancy founded 2005 and sold after two years, reported 2017
Job before 2011	Strategy consultant, BCG Munich	Consultant, BCG Munich	Microsoft, Munich, after automotive development
Doctorate	Innovative transport systems, recalled by Engert 2025	Pricing, WHU Otto Beisheim School of Management, reported 2016	None reported

DATA Source: compiled by the case writer from the interviews and articles named in the notes.

CASE · EXHIBIT 4 · 2 OF 2 · THE THREE BY PERIOD, 2005 TO 2011

Read your fit sentence

	SCHWÄMMLEIN	ENGERT	KRAUSS
Status in 2010 to 2011	Also working on his thesis, 2016 report. Employed when the idea arose, 2019 interviewer	Sabbatical in 2010 for the thesis, 2016 report. Doctorate begun alongside the job, 2017. In the doctorate in 2011, 2025	Employed at Microsoft, 2017
Wish for their own company	Recalled 2018	Recalled 2025	Recalled 2017

DATA Source: compiled by the case writer from the interviews and articles named in the notes.

CASE · FIT AND ATTACK

Read your fit sentence. Attack it as a traveller, a fellow founder, an investor

ATTACK AS

A traveller

ATTACK AS

A fellow founder

ATTACK AS

An investor

CASE · THE CONVERSATIONS · IN PAIRS

Two people, three questions about the last trip, one stop-answer

1

2

3

8:00

CASE · VOTE 2 OF 2 · RAISE A HAND

On this evidence, would you give up your own job or degree?

Same question, same hands

OPTION A

Finish the doctorates and go back into consulting

OPTION B

Stay with the secure jobs

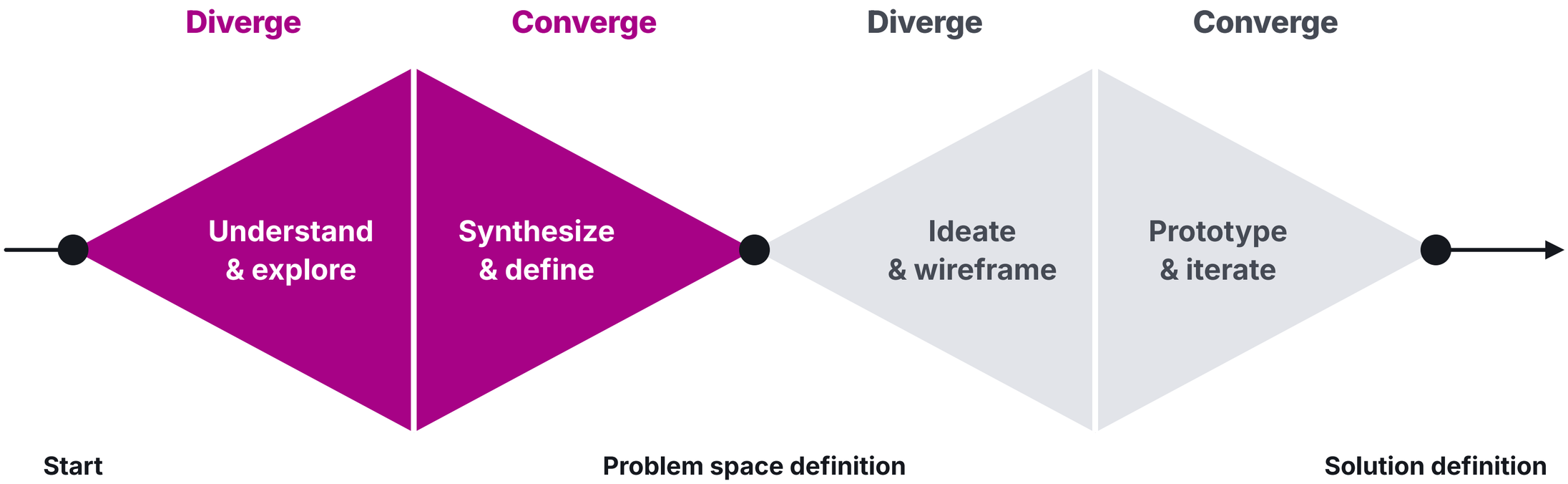
OPTION C

Make the jump

CASE · BRIDGE

Today you pick it and meet the first

Step 1 gets every problem on paper before anyone judges one.



FRAMEWORK After Design Council (2004), the double diamond as drawn on legacy slides 357 to 360. Bridge line from the M02 case slide brief.

See you next week!